



FIGURE 4.2 Modeling Cognitive Dissonance in Festinger's

Peg Experiment

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to change behavior, dissonance theory leads to the conclusion that humans are sometimes rationalizing, and not always rational beings.

Investors, like everyone else, sometimes have trouble living with their decisions. Many wealth management practitioners note that clients often go to great lengths to rationalize decisions on prior investments, especially failed investments. Moreover, people displaying this tendency might also irrationally delay unloading assets that are not generating adequate returns. In both cases, the effects of cognitive dissonance are preventing investors from acting rationally and, in certain cases, preventing them from realizing losses for tax purposes and reallocating at the earliest opportunity. Furthermore, and perhaps even more important, the need to maintain self-esteem may prevent investors from learning from their mistakes. To ameliorate dissonance arising from the pursuit of what they perceive to be two incompatible goals—self-validation and acknowledgment of past mistakes—investors will often attribute their failures to chance rather than to poor decision making. Of course, people who miss opportunities to learn from past miscalculations are likely to miscalculate again, renewing a cycle of anxiety, discomfort, dissonance, and denial (see Figure 4.2).

Both selective perception (information distortion to meet a need, which gives rise to subsequent decision-making errors) and selective decision making (an irrational drive to achieve some specified result for the purpose of vindicating a previous decision) can have significant effects on investors. The following inset illustrates four behaviors that result from cognitive dissonance and that cause investment losses.